ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 10 - BOND TRADING - BASICS & OPENING RANGE CONCEPT

ICT Monthly Mentorship

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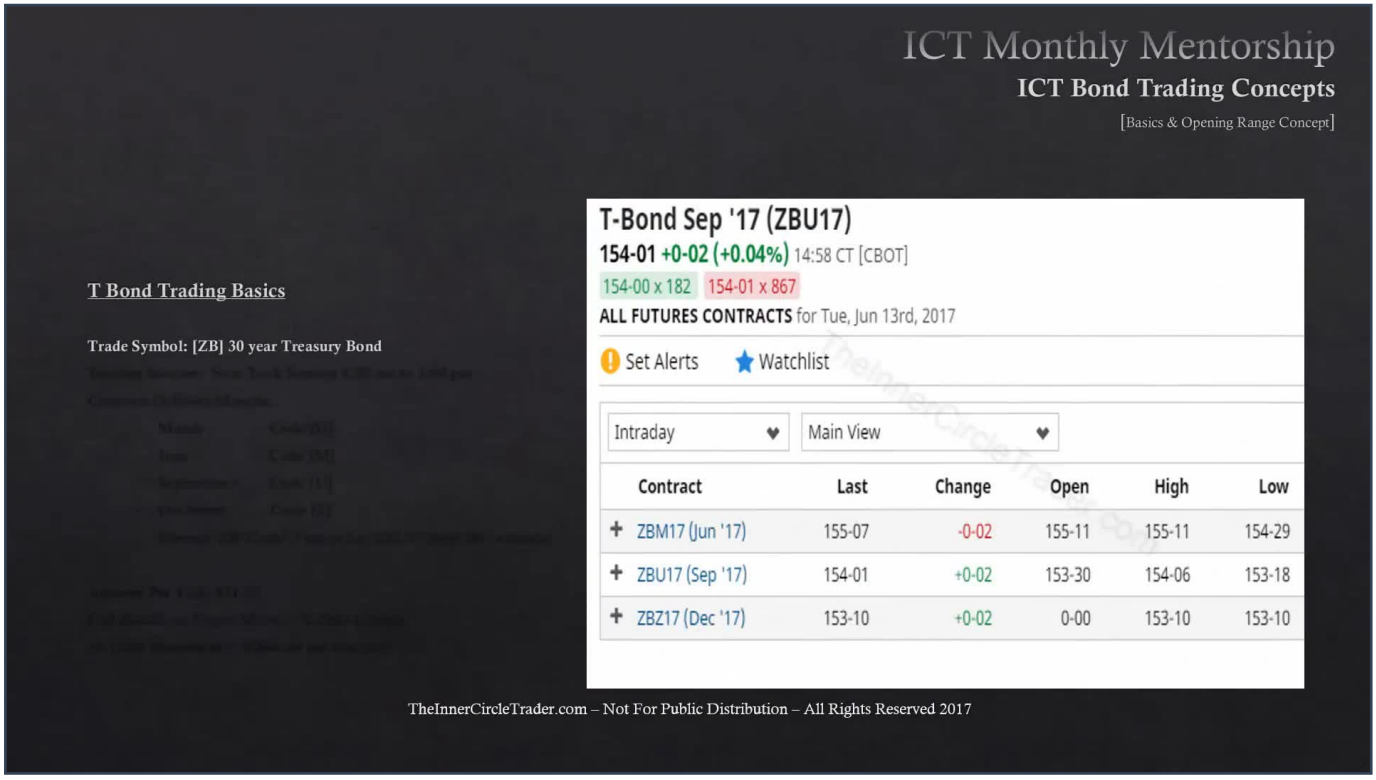
Welcome to the first lesson in ICT bond trading Concepts. When dealing with commodities, it's important to remember that I am not a licensed CTA.

- This is not trade advice.

- Everything referred to in this month's content and these lessons is for paper trade only.

This lesson is part of the June 2017 ICT Mentorship, focusing on ICT bond trading lesson one: Basics and the Opening Range Concept.



When referring to the treasury bond, I am specifically referring to the 30-year treasury bond Futures Contract.

- Trade Symbol: ZB

- Trading Session for Concepts: Primarily the New York session.

- New York Session Time: 8:20 A.M. to 3:00 P.M. New York time.

CONTRACT DELIVERY MONTHS AND SYMBOL FORMAT

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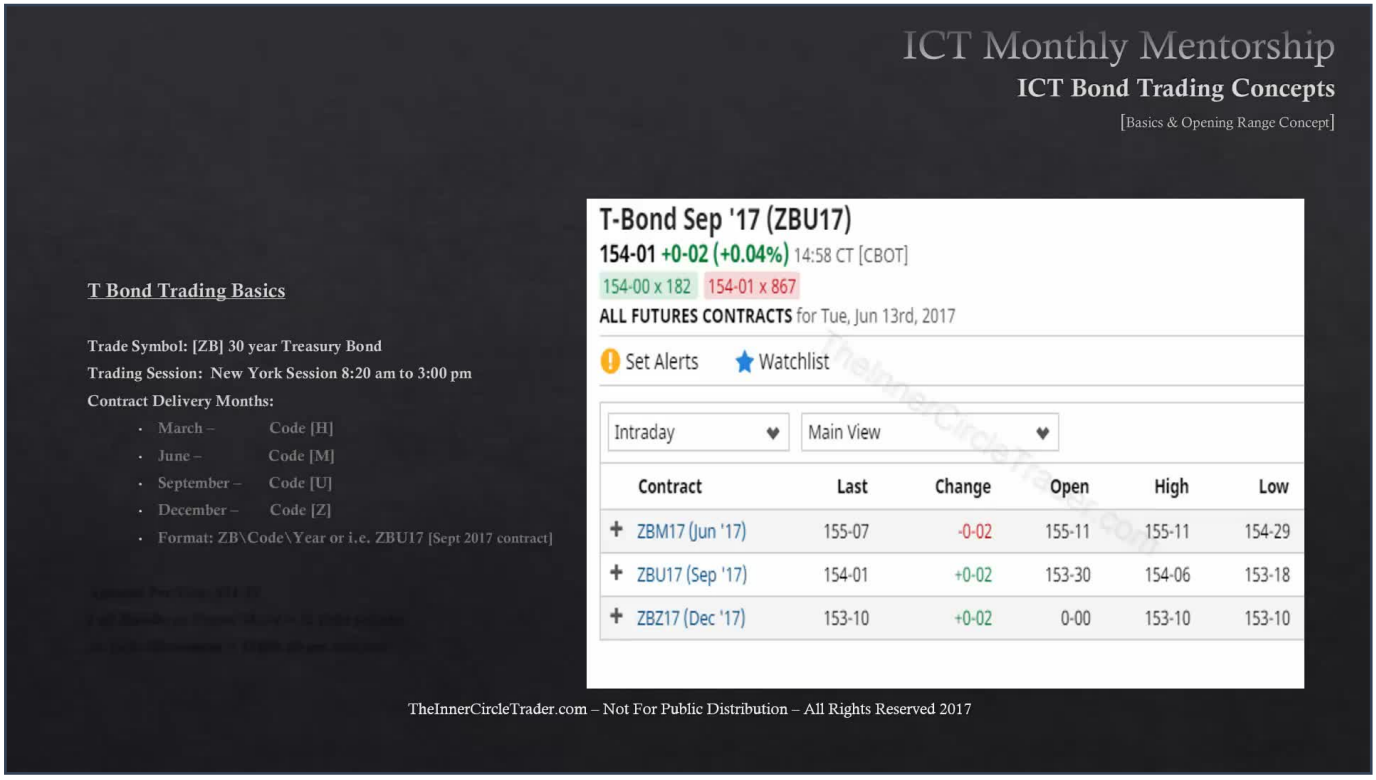

The contract delivery months for the 30-year treasury bond note are:

- March (Contract Code: H)

- June (Contract Code: M)

- September (Contract Code: U)

- December (Contract Code: Z)

The format for entering charts or pulling data is: ZB + Month Code + Last two digits of the trading year.

- Example: ZBU17 for September 2017's contract of the 30-year treasury bond.

- Trades on the Chicago Board of Trade exchange as a Futures Contract.

TICK VALUE AND FULL HANDLE DEFINITION

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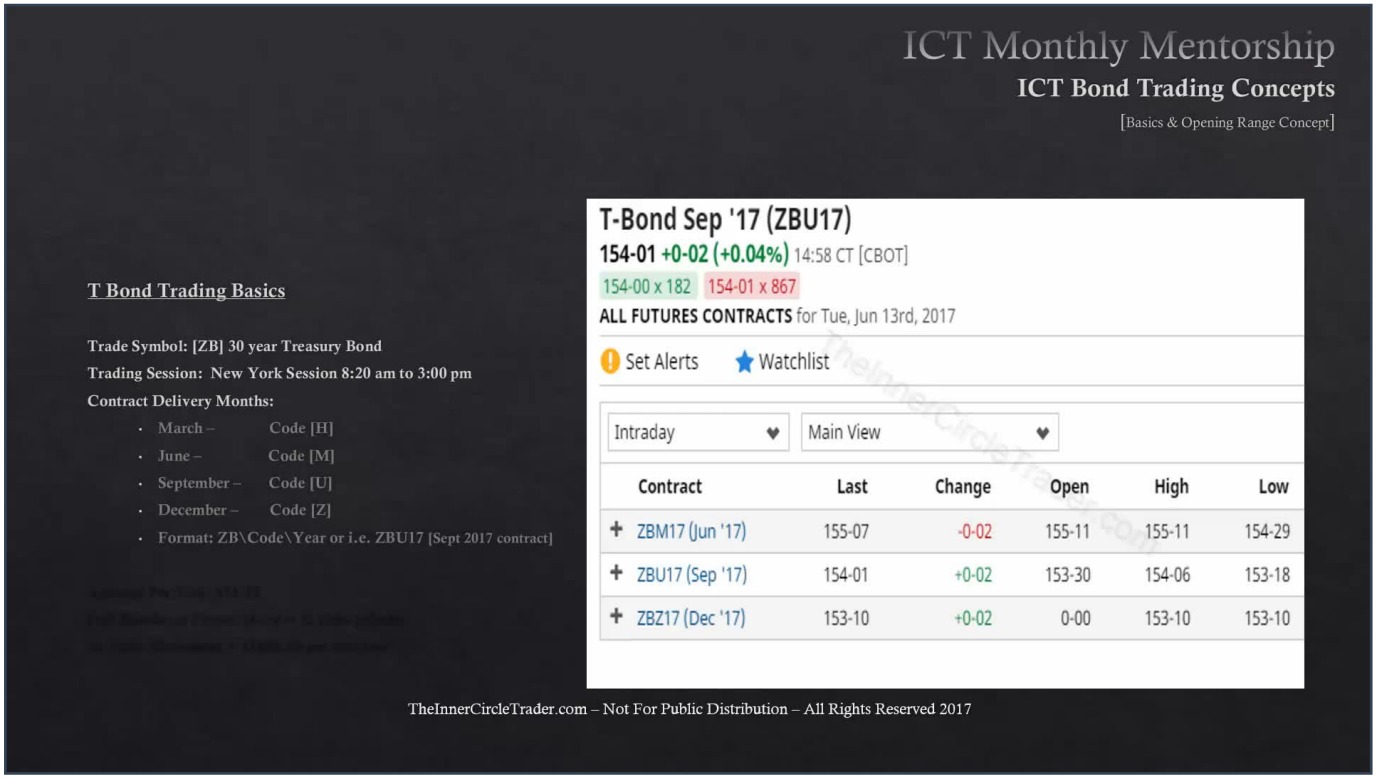

The amount per tick (minimum fluctuation) is 31.25 per contract.

- A full handle or full figure move equals 32 ticks, or is referred to as 30 seconds.

- 32 ticks movement equals 1,000 dollars per contract.

BOND OPENING RANGE CONCEPT INTRODUCTION

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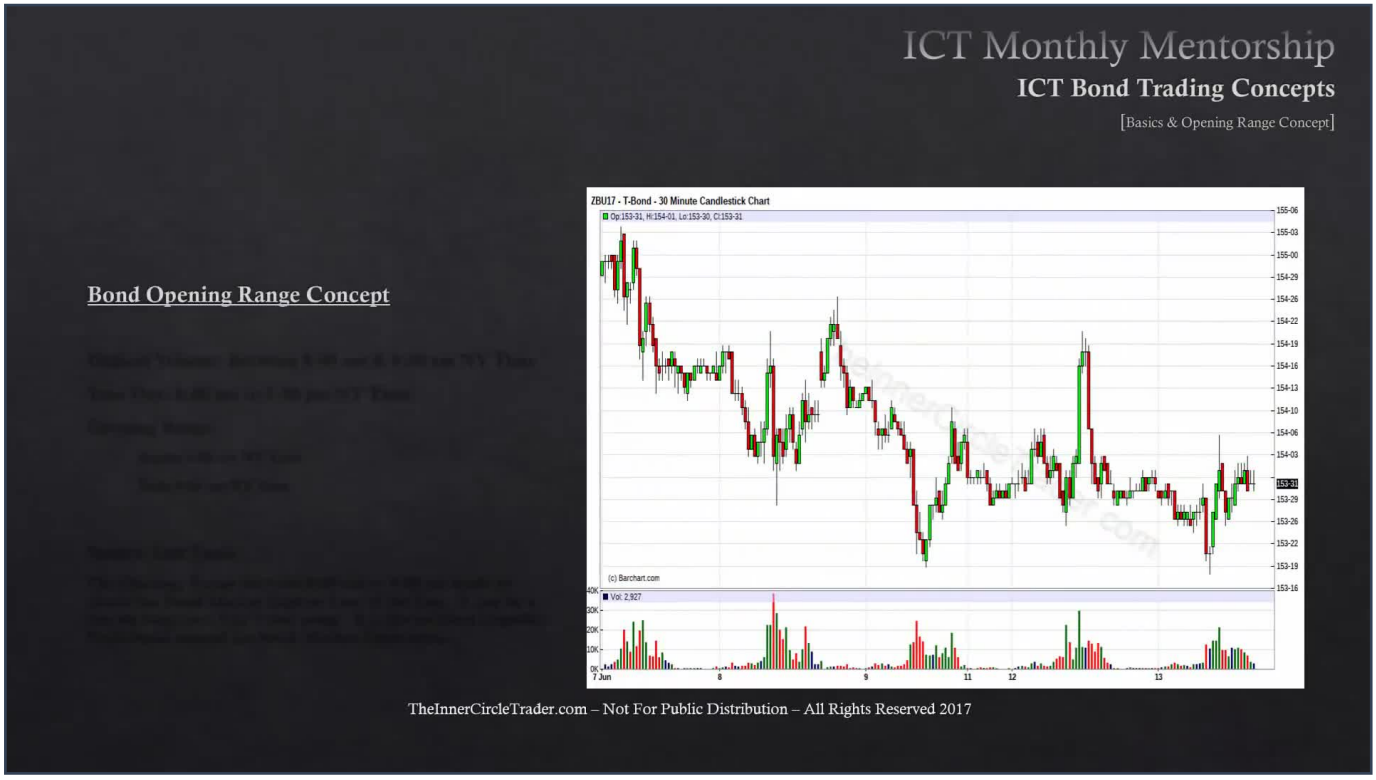

The Bond opening range concept is a fundamental element in commodity trading.

- Highest volume is typically seen between 8 A.M. and 9:30 A.M. New York time.

- The 'true day' for the bond market is 8 A.M. to 3 P.M. New York time.

- The opening range begins at 8 A.M. New York time and ends at 9 A.M. New York time.

- This 8 A.M. to 9 A.M. opening range tends to create the bond market high or low of the day.

OPENING RANGE SIGNIFICANCE AND LIQUIDITY

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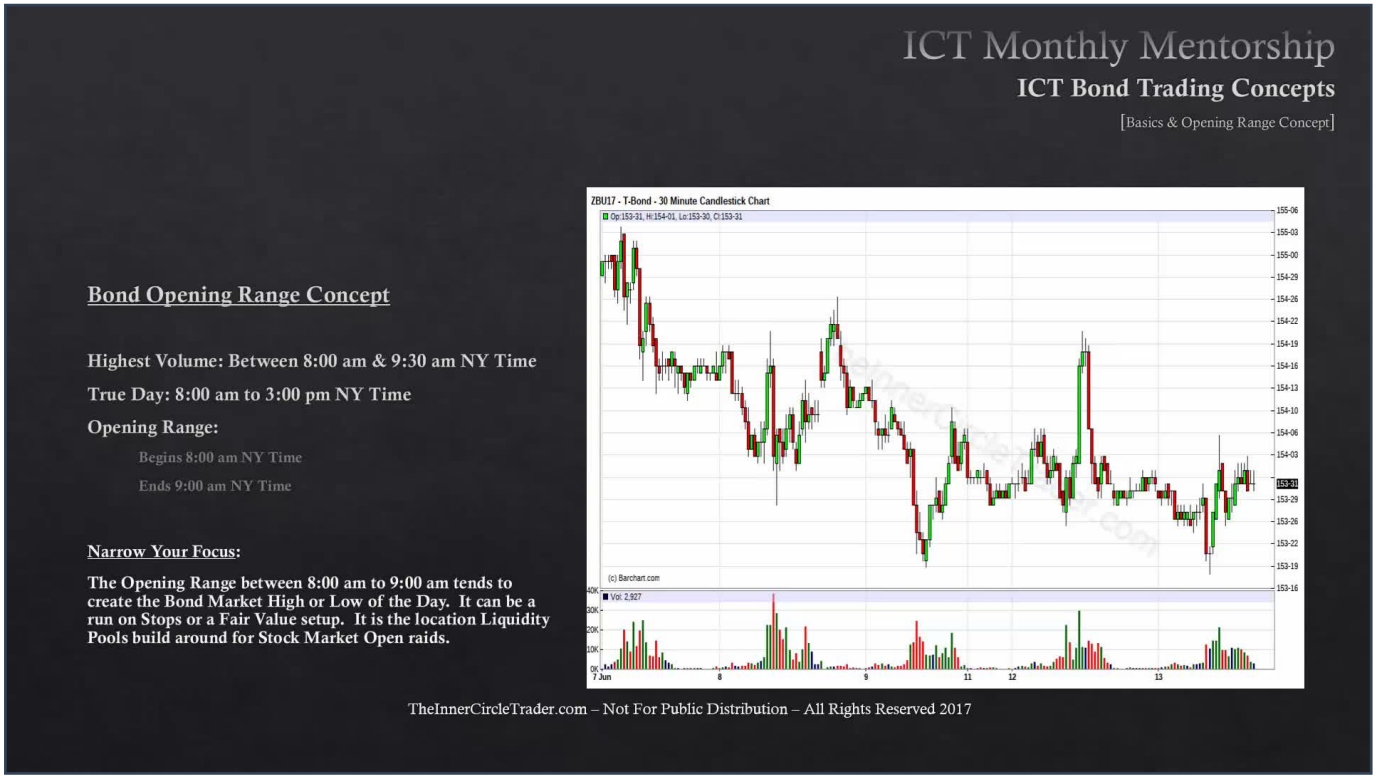

The opening range (8 A.M. to 9 A.M.) can be:

- A run-on stops.

- A fair value setup (bullish order block or bearish order block).

- A trade down into a liquidity void or fill in a fair value gap.

- It is also the location for liquidity pools to build around for the Stock Market opening to be rated.

EXAMPLE 1: OPENING RANGE LOW AND STOP RUN

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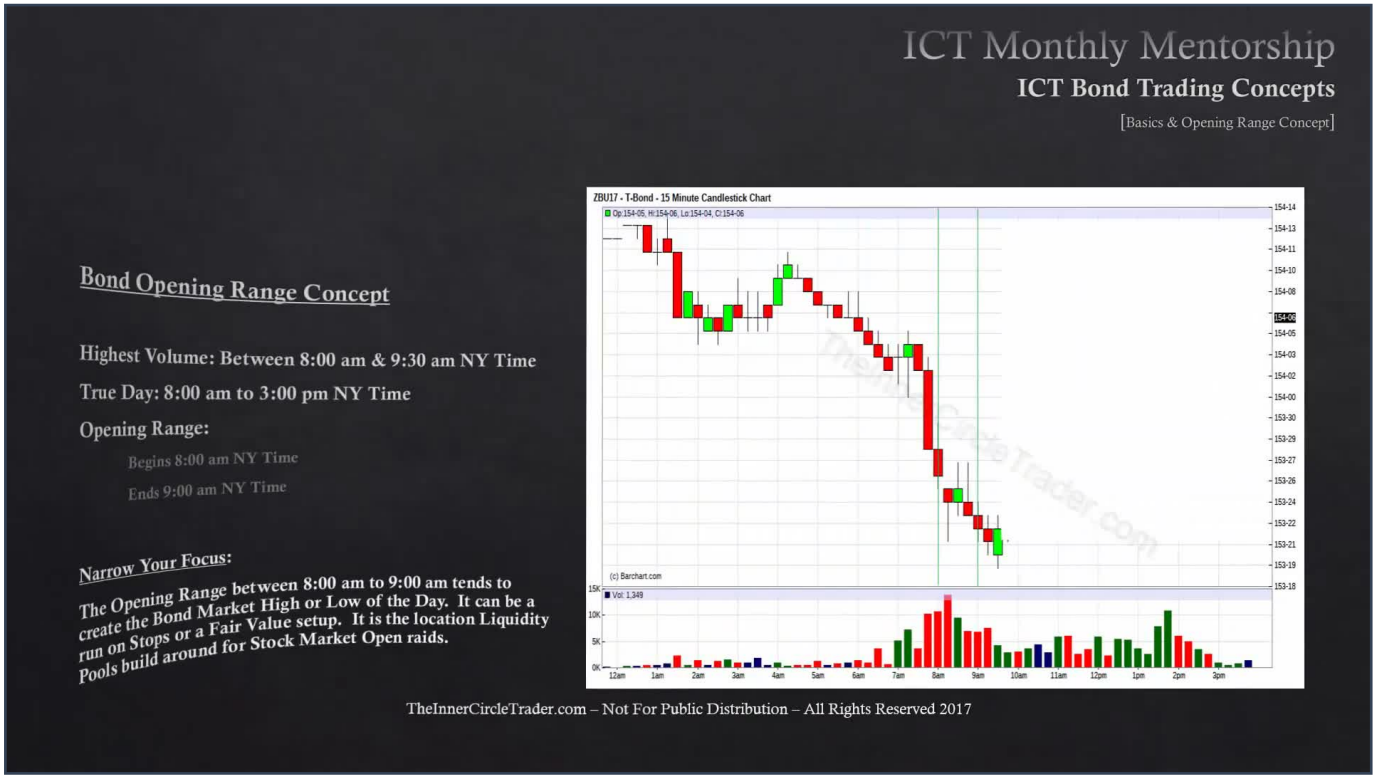

Consider a 15-minute Candlestick chart of the ZBU17 (September 2017 treasury bond contract), with the 8 A.M. to 9 A.M. period delineated.

- We identify the opening range high and low within this period.

- Price trades down below the low formed between 8 A.M. and 9 A.M.

- This action is a stop run and a potential reversal.

EXAMPLE 1: VOLUME DIVERGENCE ANALYSIS

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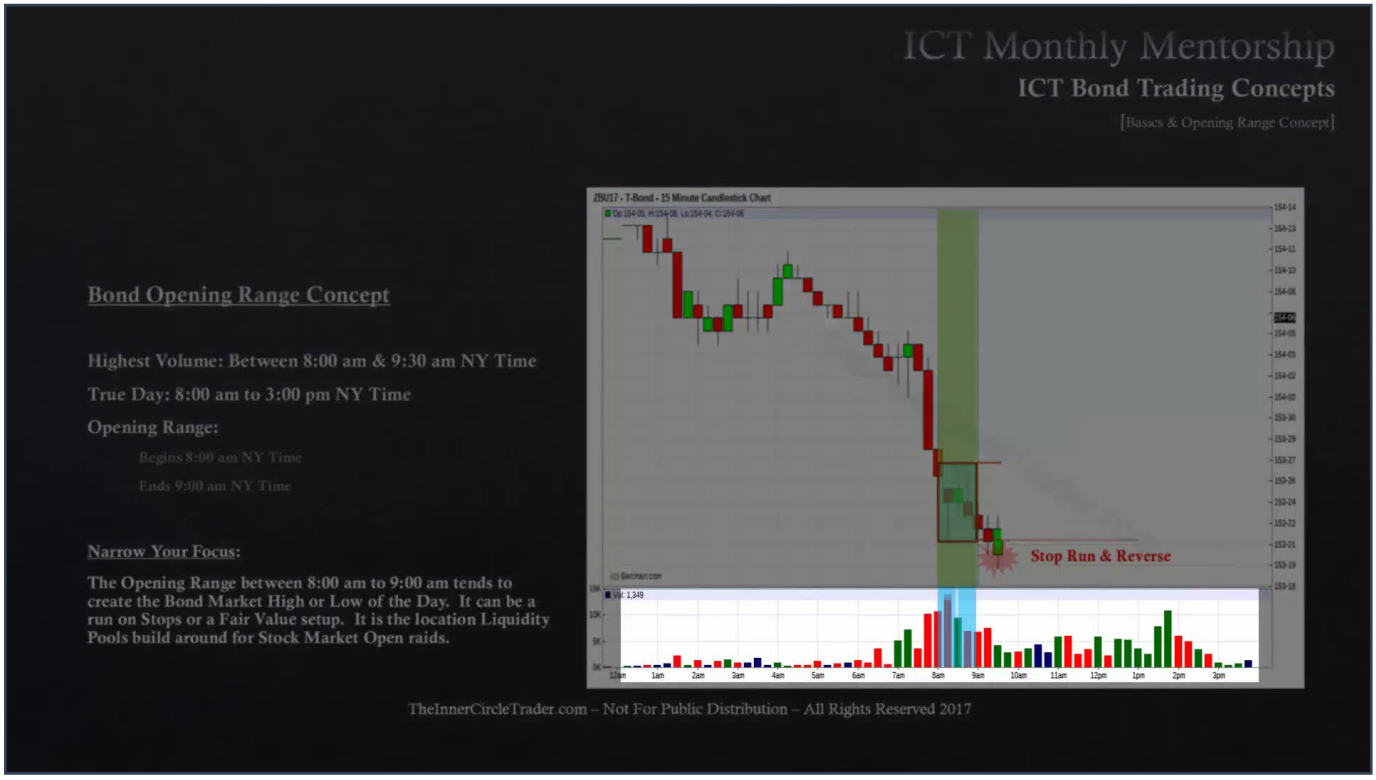

Notice the highest volume of the day is typically between 8 A.M. and 9 A.M.

- The lower low created post-9 A.M. New York time was seen with lower volume.

- This is a volume divergence: price making a lower low should ideally be met with a higher bar on volume.

- Lower volume on a lower low is a sign of impending weakness for the down move, indicating no more selling pressure; it's basically a run on stops.

- Price subsequently moves higher, finding support at the opening range, and continues trading higher into the latter portions of the day.

EXAMPLE 2: BULLISH ORDER BLOCK WITHIN OPENING RANGE

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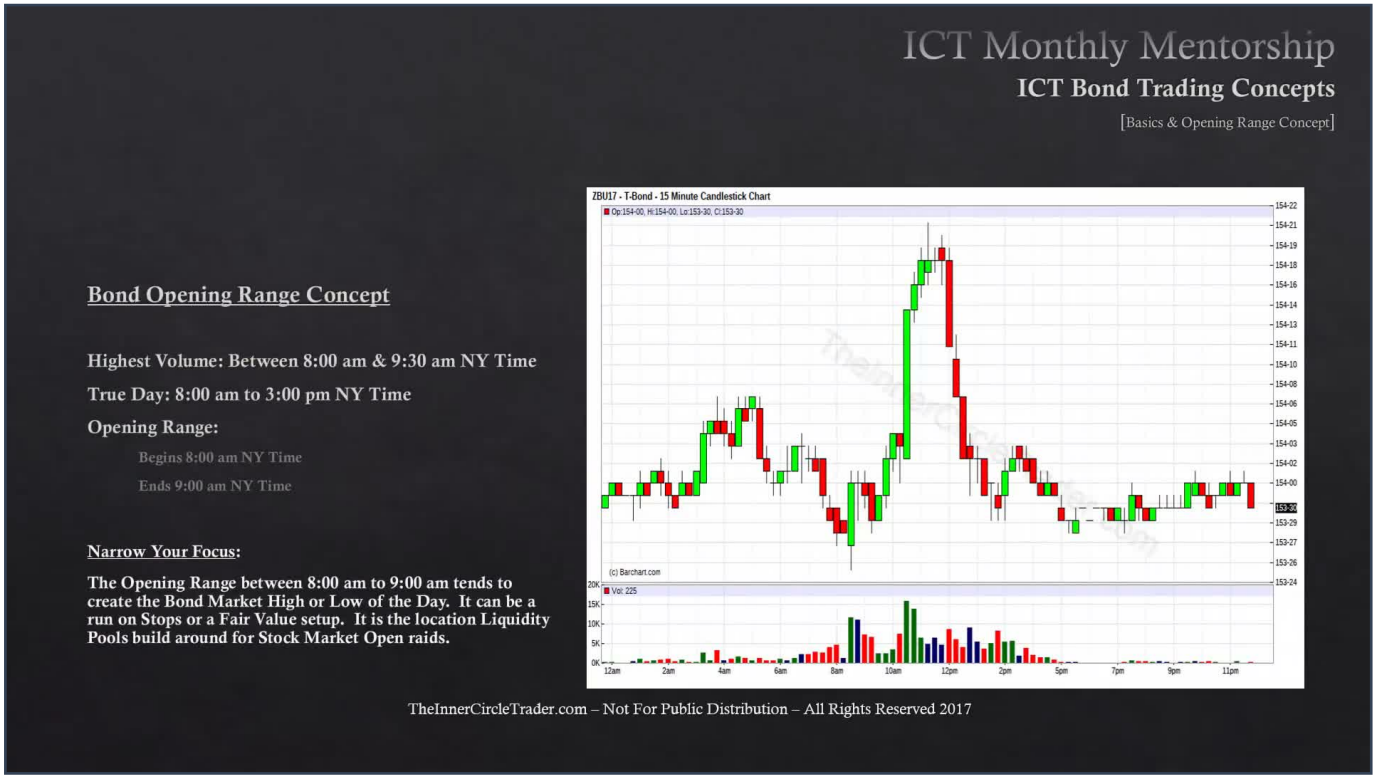

Another example using the 8 A.M. to 9 A.M. price action block to define the opening range high and low.

- Inside the opening range, identify a bullish order block (the last two down-closed candles).

- Price trades down into this bullish order block around the 8 A.M. to 9 A.M. opening range concept.

EXAMPLE 2: VOLUME DIVERGENCE ON A RALLY

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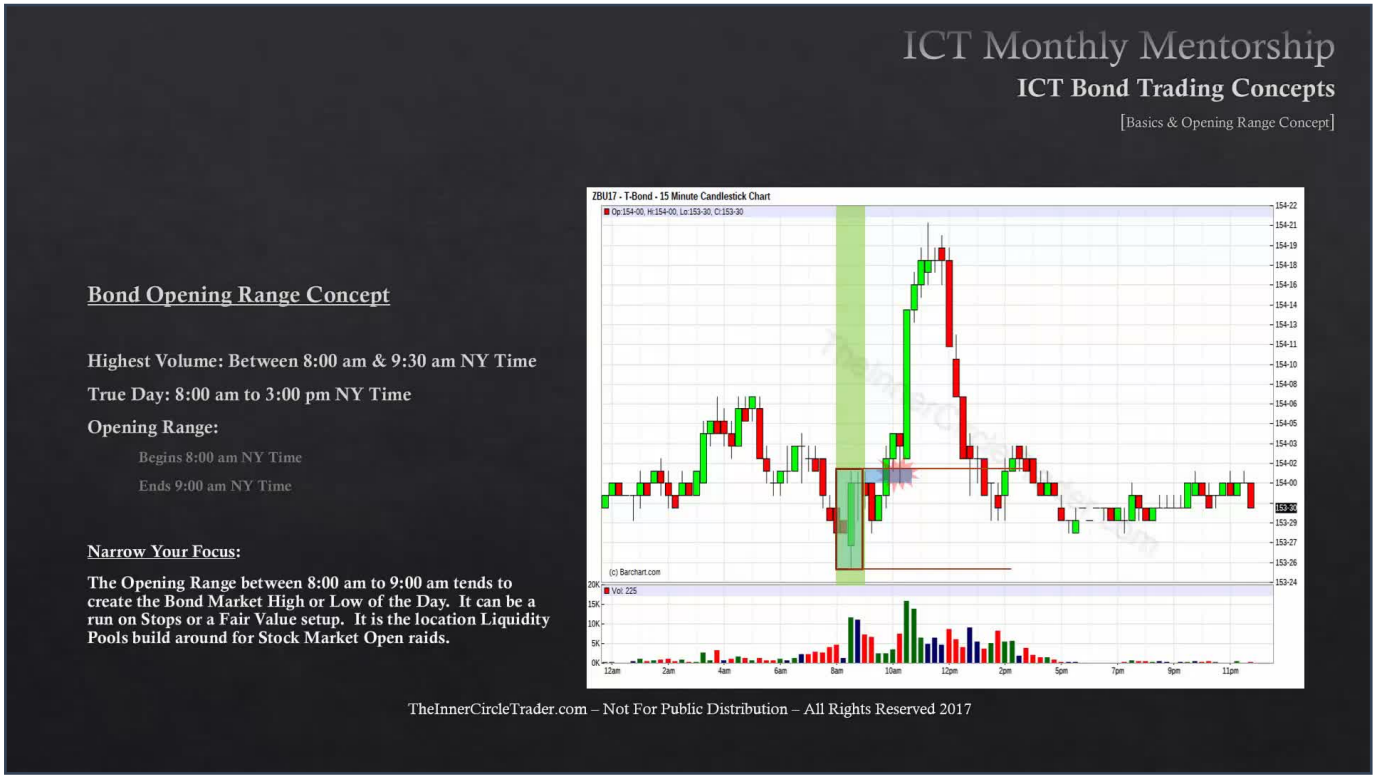

Price rallies away from the bullish order block.

- As price makes a higher high going into the 11 o'clock hour, volume was declining.

- This volume divergence was an early sign that the rally up into 154.21 was a weak move.

- Ideally, volume should have had a higher bar on its highest high moving up to 154.21.

- Volume precedes price; weakness was seen after 154.21 had posted, leading to a subsequent decline back into the opening range and consolidation.

EXAMPLE 3: BULLISH ORDER BLOCK AND STOP RUN

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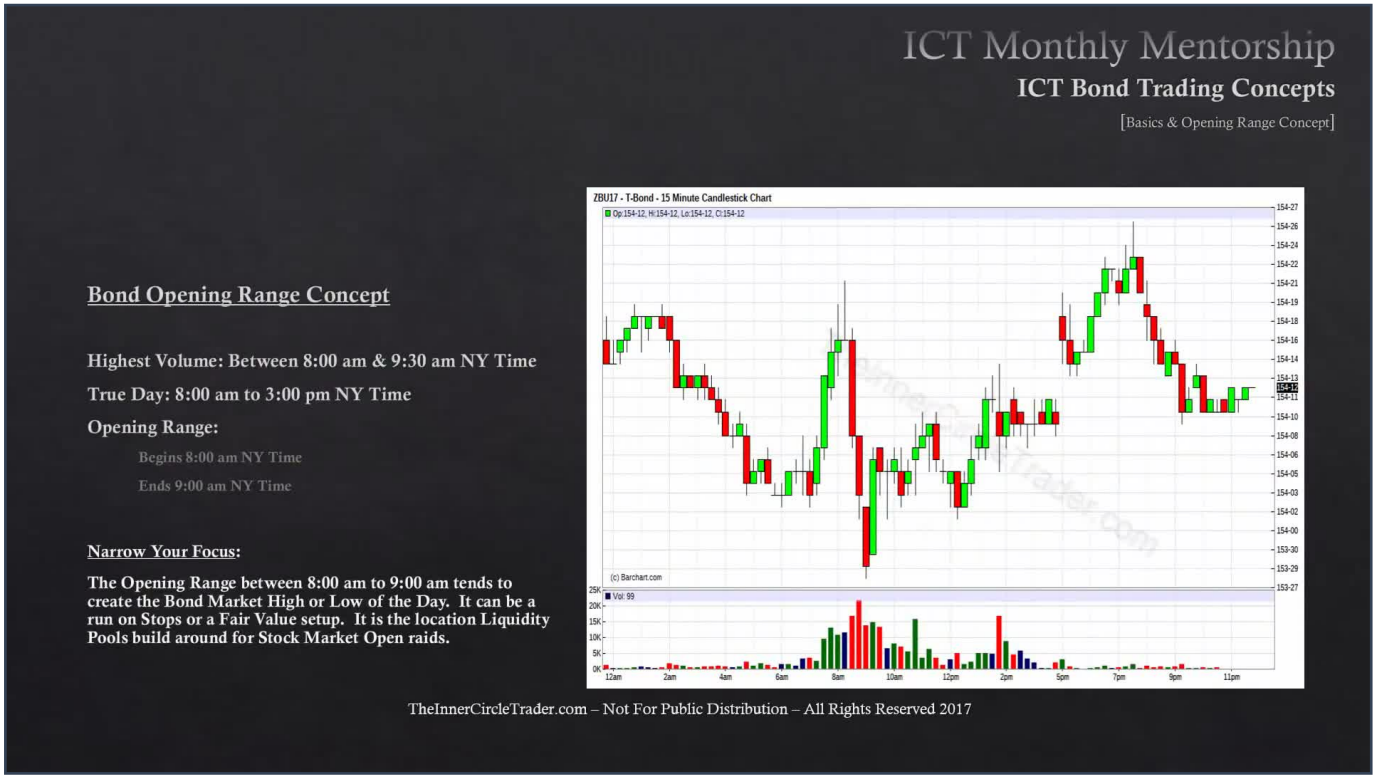

Using the 8 A.M. to 9 A.M. delineation, we define our opening range high and low.

- Inside the opening range, the last down-closed candle is a bullish order block.

- There are two reference points for testing this order block, both fitting the bill.

- With a bullish order block, we expect a rally. The largest volume was seen again between 8 A.M. and 9 A.M. New York time.

EXAMPLE 3: DIVERGENCE, STOP HUNT, AND FAIR VALUE GAP

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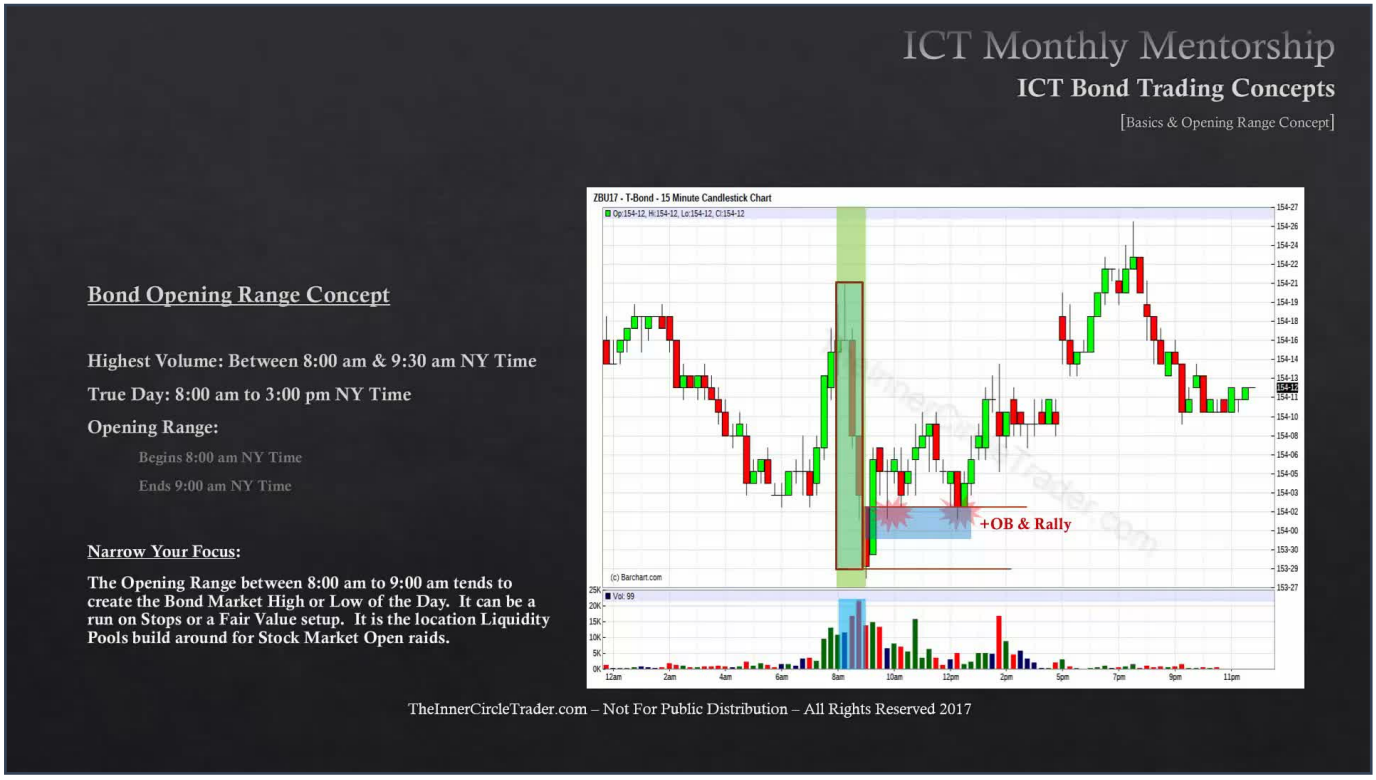


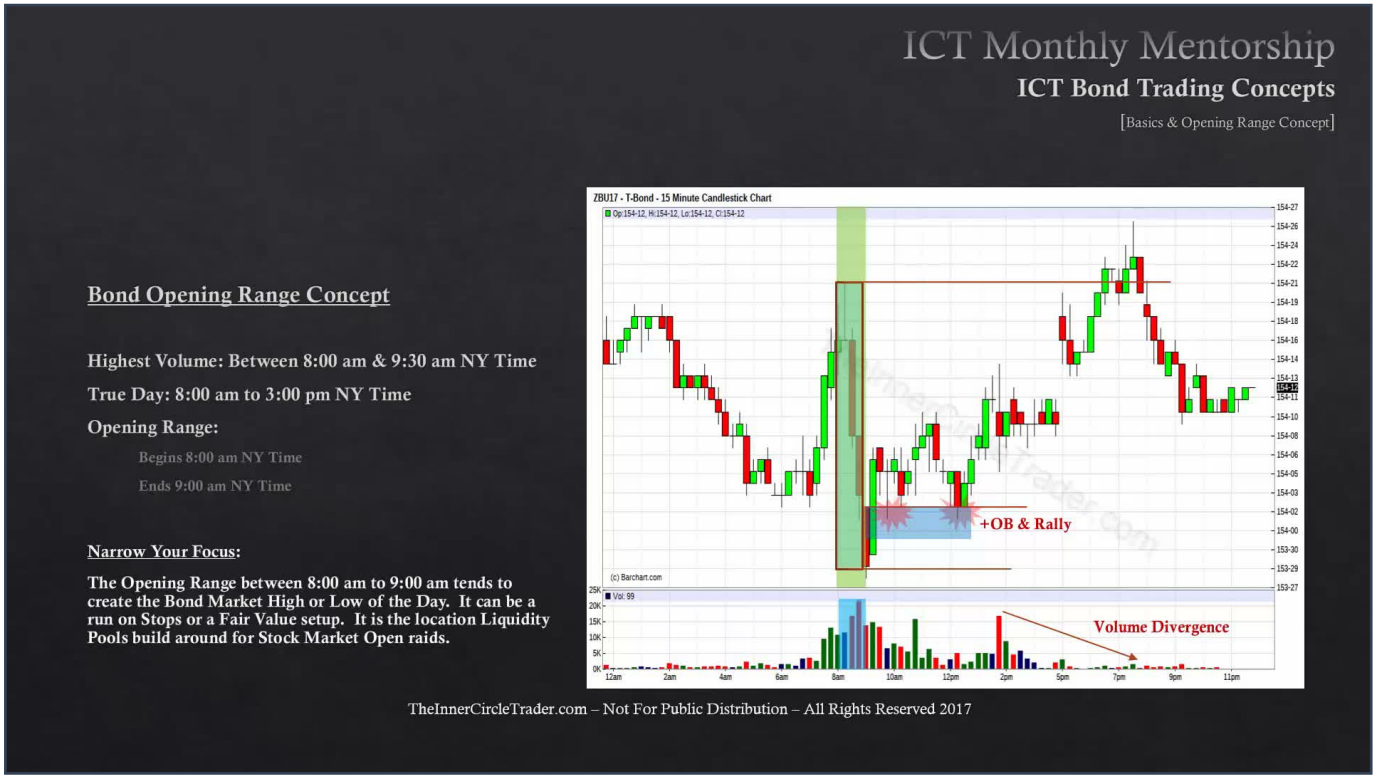
Price moves up, running into the 154.26 level.

- Notice that the high formed around 154.26, before 2 P.M., was not seen with greater volume when measured later in the day/evening.

- The move to 154.26 was done on light volume, and with the divergence in volume, it reached above the opening range high.

- This indicates it ran the stops above that range, failed to go any higher, and traded down to close in the fair value gap seen at the 154.10 level.

- This blends concepts from Forex mentorship with specific commodities.



For bonds, I define the opening range similar to the Asian range in Forex:

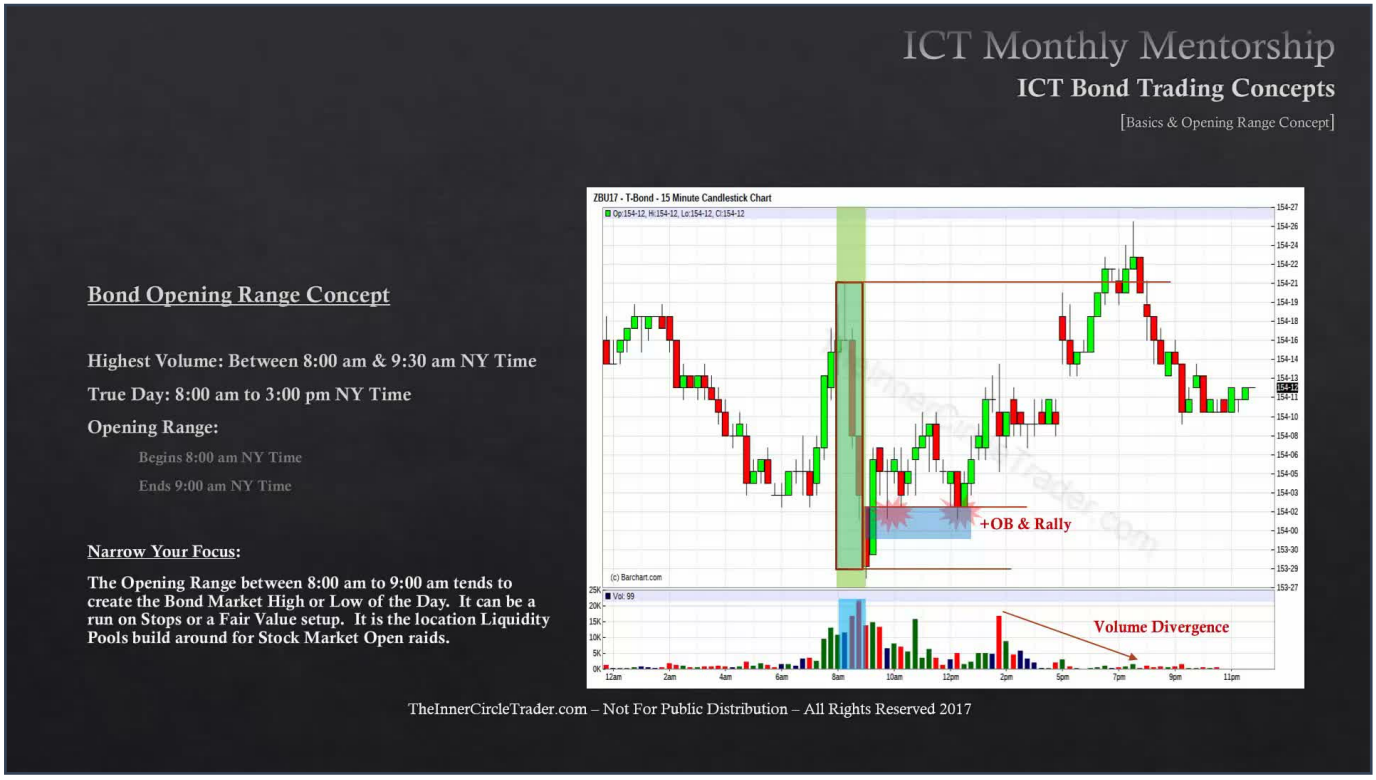
- Incorporate the bodies of candles.

- Incorporate wicks.

- Incorporate previous highs and lows that are just to the left of the 8 A.M. to 9 A.M. New York time period.

For instance, highs formed between 2 A.M. and 12 A.M. to the left of the chart (equal highs just below 154.19) can be incorporated with the wick between 8 A.M. and 9 A.M.

- This reference point can become an issue for stop rating later during the Asian session, showing how we blend concepts.

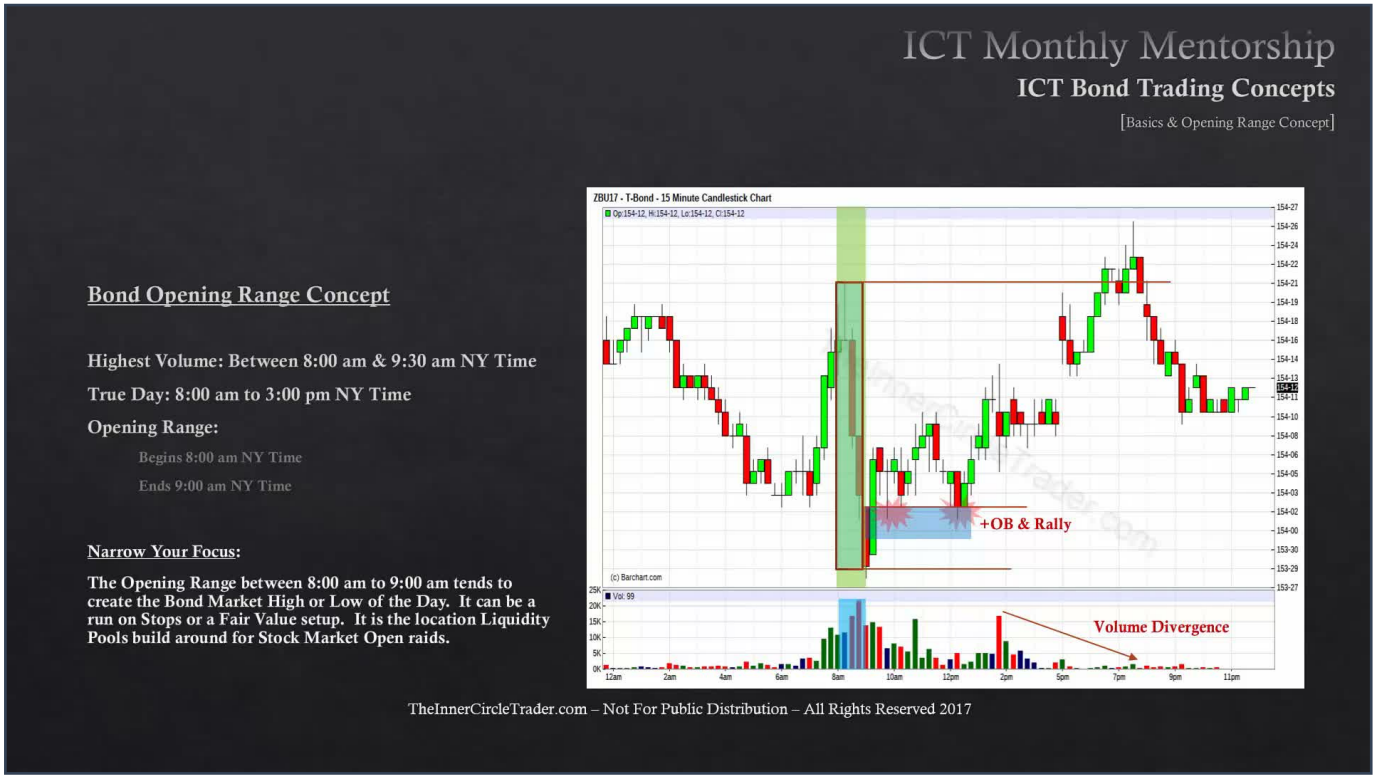


I prefer to see signals form at 8:20 A.M. or after, which is around the CME opening.

- Signals can occur as early as 8 A.M. or sometimes a little before, similar to the New York session open at 7 A.M.

- Generally, I prefer to see signals occur between 8 A.M. and 8:30 A.M.

- This period sees a strong influx of New York traders, with London traders still participating, making it a very liquid market.



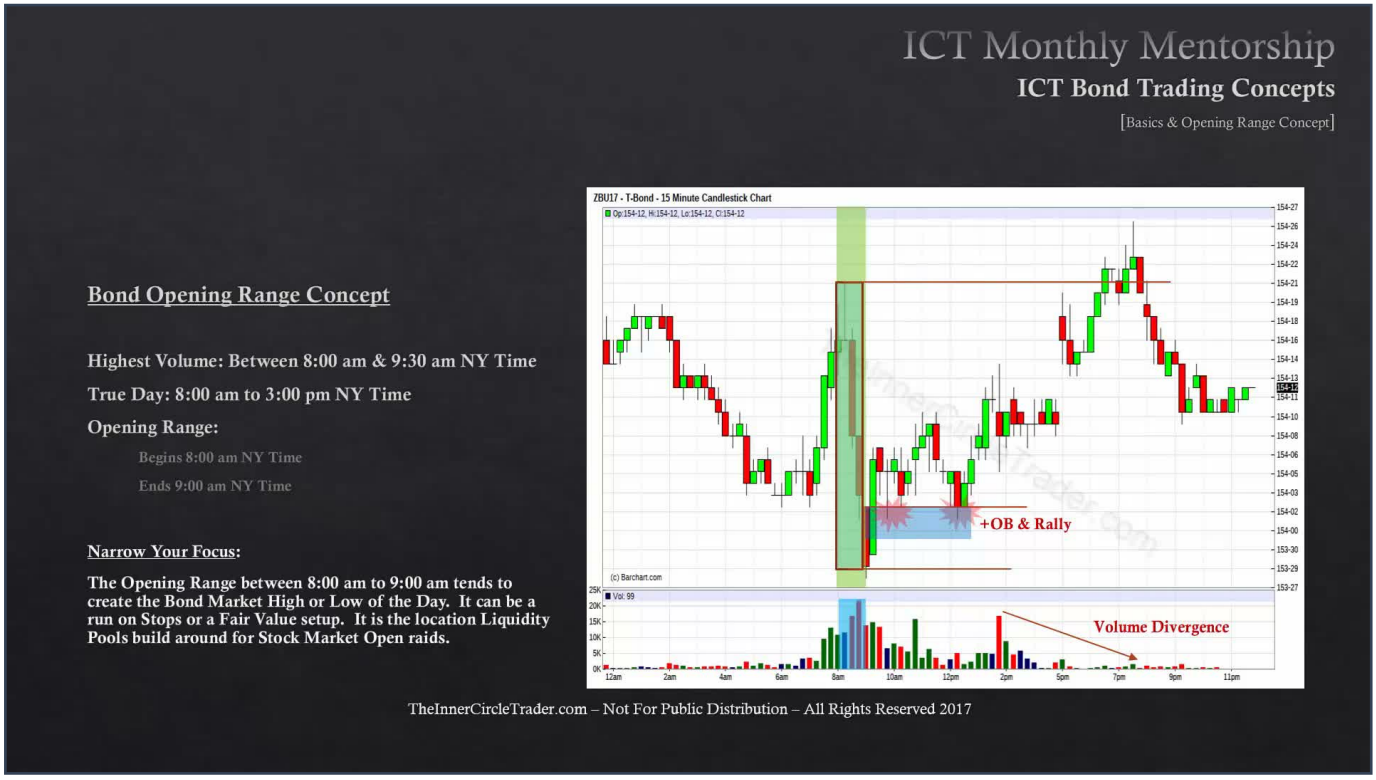
The bond market is noted as the least manipulated of all markets, though not entirely free of manipulation.

- On par with other asset classes, it generally sees the least manipulation.

- During FOMC, interest rate reports, or other significant news events (like Non-Farm Payroll), the bond market can become 'wonky' or 'silly', exhibiting illogical price action.

- The easiest way to avoid this is to stay out of the asset class ahead of these news events.

- Trading around these times is illiquid, and the market is likely to gap against your position. It's best not to trade at all during these periods.



If you wish to focus on a single market, the bond market offers a plethora of opportunities:

- Highly liquid.

- Very nice when trending; generally stays in one direction once it moves.

- Can be choppy in consolidation, but if you know fair value gaps, Turtle soups, or equilibrium ideas, you can capture ticks.

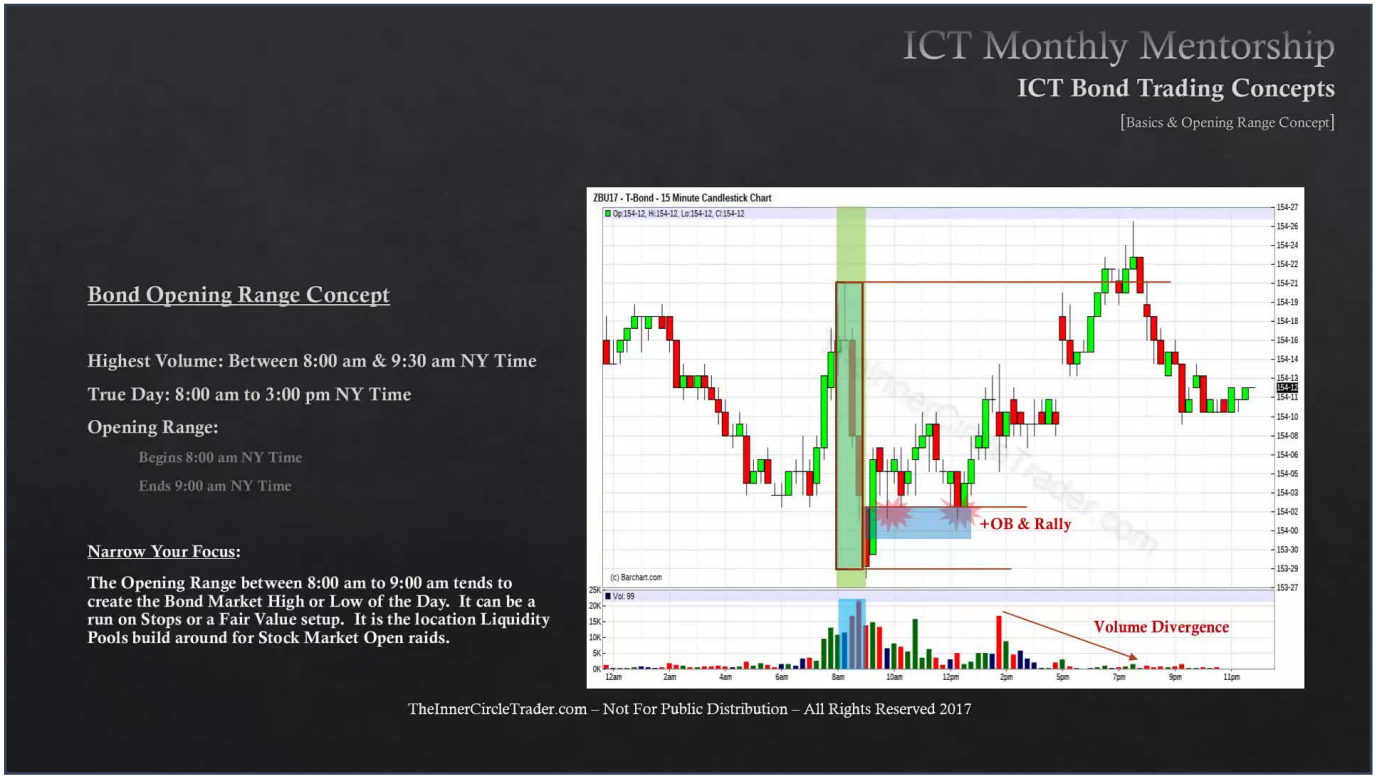
- Realistic daily range: capturing 5-8 ticks intraday is good (16/32nds = 500 dollars per contract).

- A large range day (full handle or 32 ticks = 1,000 dollars) doesn't happen all the time, but sustained moves can create it.

- Allows for low expectations in daily range.

- Respects liquidity pools, liquidity gaps, and fair value gaps, similar to Forex, but without the extreme 'crazy stuff' spiking.

- Not a perfect market, but if Forex became untradeable, I would return to bonds without hesitation. It's a very good trading market.



The bond market can be:

- Swing traded.

- Short-term traded.

- Day traded.

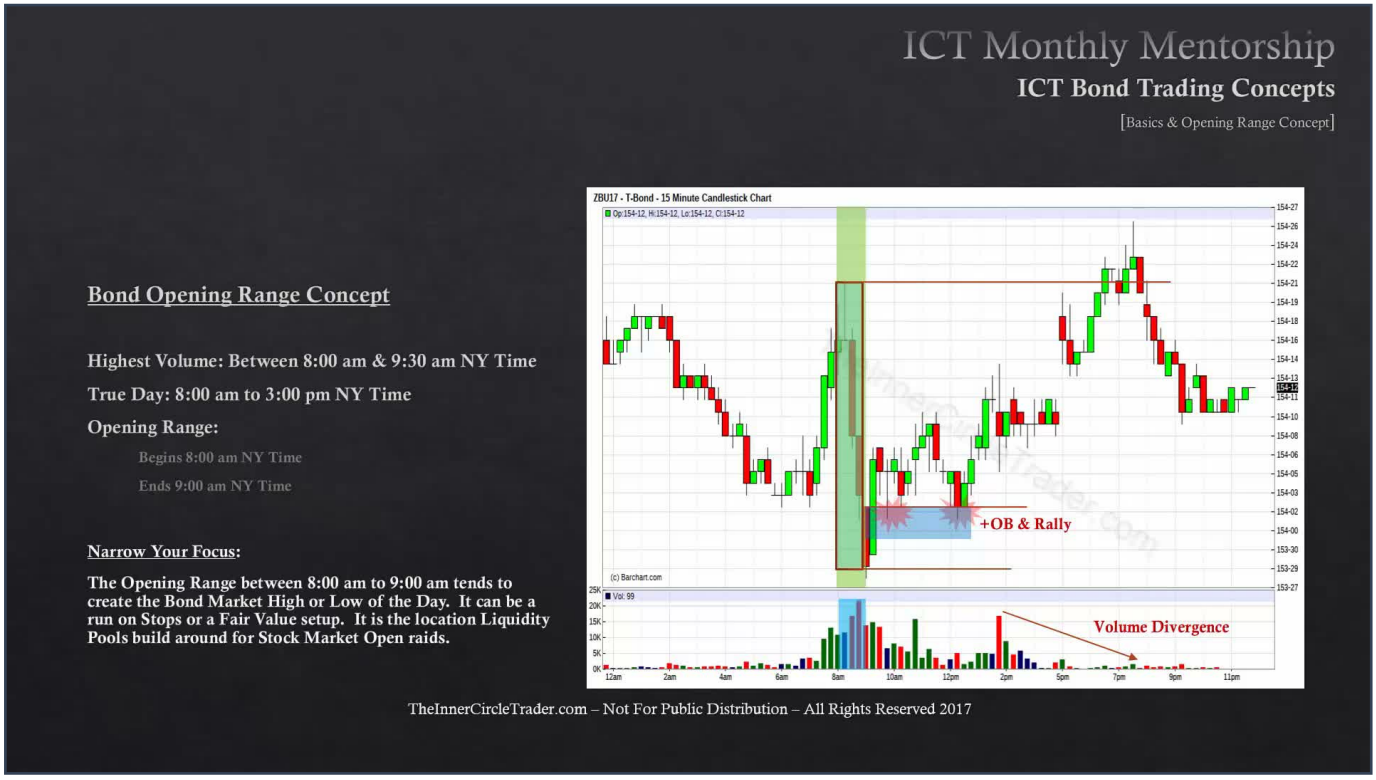
- Held for longer terms (several months) when conditions are right, as it trends very well like a currency.

I strongly recommend keeping a running journal of the bond market's daily action.

- Use barchart.com (or similar) to pull up the ZBU17 (adjusting for current/future contracts) on a 15-minute timeframe for one day.

- This practice will increase your price action skills and develop a greater appreciation for this asset class, commodities, and interest rates.

- You will also start studying its relationship with the dollar, gold, and foreign currencies as a whole.



This has been an introduction to the bond market and one of the most basic concepts for analysis.

- The next lesson will cover split session rules.